



ORIENT FINANCE PLC

Unaudited Interim Financial Statements
For the Three Months Ended 30 June 2020

ORIENT FINANCE PLC
INCOME STATEMENT

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For the quarter ended 30th June	2020 Rs.	2019 Rs.
Income	565,345,739	827,319,588
Interest income	534,420,001	777,645,537
Interest expenses	(371,905,673)	(493,242,957)
Net interest income	162,514,328	284,402,580
Fee and commission income	25,167,508	37,458,498
Other operating income	5,758,230	12,215,553
Total operating income	193,440,065	334,076,631
Impairment charges for loans and receivables to customers	(44,241,211)	(198,050,963)
Net operating income	149,198,855	136,025,668
Operating expenses		
Personnel expenses	(105,515,000)	(112,197,838)
Depreciation and amortization	(15,620,699)	(8,201,072)
Other operating expenses	(77,451,056)	(115,754,113)
Operating profit/(loss) before Value Added Tax and NBT	(49,387,901)	(100,127,355)
Value Added Tax and NBT on financial services	(1,824,713)	(3,109,128)
Profit /(loss) before income tax	(51,212,614)	(103,236,483)
Income tax expense	-	-
Profit/(loss) for the period	(51,212,614)	(103,236,483)
Other comprehensive income/(expenses)		
Change in fair value of financial assets at fair value through other comprehensive income	0	0
Total comprehensive income/(expenses) for the period net of tax	(51,212,614)	(103,236,483)
Basic earnings per share (Rs.)	(0.28)	(0.70)
Diluted earnings per share (Rs.)	(0.28)	(0.70)

Figures in brackets indicate deductions.

Colombo

14th August, 2020

ORIENT FINANCE PLC
STATEMENT OF FINANCIAL POSITION

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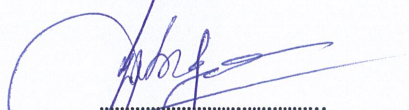
As At 31st March

	2020 Rs. Unaudited	2019 Rs. Audited	Variance
ASSETS			
Cash and cash equivalents	70,618,412	181,741,883	-61%
Financial assets - fair value through other comprehensive income	934,478,086	936,939,610	-0.3%
Loans and receivables	12,339,298,075	14,033,759,660	-12%
Investments with banks and other financial institutions	82,492,401	286,253,330	-71%
Other assets	279,432,153	252,392,826	11%
Real estate stock	16,772,709	16,772,709	0.0%
Deferred tax asset	371,088,940	371,088,939	0.0%
Goodwill	564,545,746	564,545,746	0.0%
Brand value	235,880,000	235,880,000	0.0%
Intangible assets	805,470	1,505,430	-46%
Property, plant and equipment and Right-of-use of Assets	204,075,355	78,163,766	161%
Investment properties	538,250,000	400,600,002	34%
Total assets	15,637,737,347	17,359,643,901	-10%
LIABILITIES			
Due to banks - bank overdrafts	265,514,298	610,624,135	-57%
Deposits from customers	9,007,732,231	10,479,531,283	-14%
Interest bearing borrowings	3,038,038,298	2,091,868,611	45%
Term debts	0	1,012,265,985	-100%
Redeemable preference shares	0	512,216,926	-100%
Other liabilities	573,454,067	436,331,176	31%
Retirement benefit obligations	42,587,258	50,305,976	-15%
Total liabilities	12,927,326,152	15,193,144,092	-15%
EQUITY			
Stated capital	2,431,879,039	1,378,689,779	76%
Statutory reserve fund	311,080,742	306,478,542	2%
Revaluation reserve	141,120,773	141,120,773	0%
Available for sale reserve	0	1,069,031	-100%
Retained earnings	(173,669,359)	339,141,684	-151%
Total equity	2,710,411,195	2,166,499,809	25%
Total equity and liabilities	15,637,737,347	17,359,643,901	-10%
Net assets per share	12.84	14.64	

Figures in brackets indicate deductions.

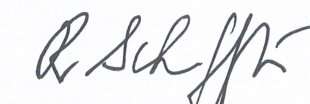
The financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.


Sanjeeva Jayasinghe
Head of Finance


K.M.M. Jabir
Chief Executive Officer/Director

The Board of Directors is responsible for the preparation and presentation of these financial statements.
Approved and signed for and on behalf of the Board;


Prakash Schaffter
Director


Ramesh Schaffter
Director

Colombo
14th August, 2020

ORIENT FINANCE PLC
STATEMENT OF CHANGES IN EQUITY

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For the period ended 30th June

	Stated Capital Rs.	Statutory reserve fund Rs.	Revaluation reserve Rs.	Fair value reserve Rs.	Retained earnings Rs.	Total Rs.
Balance as at 01st April, 2019	1,378,689,779	306,478,542	141,120,773	1,069,031	339,141,684	2,166,499,809
Profit/(Loss) for the year	-	-	-	-	(437,347,081)	(437,347,081)
Other comprehensive income (expense) net of taxes	-	-	-	(1,069,031)	(719,951)	(1,788,982)
Transfer to statutory reserve		4,602,200			(4,602,200)	-
Transactions with Equity holders						
Write off of share premium generated in share conversion					(70,141,811)	(70,141,811)
Conversion of Preference Share Capital to Ordinary Shares	470,038,111					470,038,111
Conversion of Accrued Preference Share Interest to Ordinary Shares	76,508,375					76,508,375
Right issue of shares	506,642,774					506,642,774
Balance as at 31st March, 2020	2,431,879,039	311,080,742	141,120,773	-	(173,669,359)	2,710,411,195
Balance as at 01st April, 2020	2,431,879,039	311,080,742	141,120,773	-	(173,669,359)	2,710,411,195
Profit/(Loss) for the quarter	-	-	-	-	(51,212,614)	(51,212,614)
Balance as at 30th June 2020	2,431,879,039	311,080,742	141,120,773		(224,881,973)	2,659,198,581

Figures in brackets indicate deductions.

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14th August, 2020

ORIENT FINANCE PLC
STATEMENT OF CASH FLOWS

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For the period ended 30th June	2020 Rs.	2019 Rs.
Cash flows from operating activities		
Profit/(loss) before income tax expense	(49,387,901)	(103,236,483)
Adjustment for:		
Depreciation/amortization	8,325,000	8,671,562
Profit on disposal of property, plant and equipment	(14,134)	-
Impairment charges for loans and receivables to customers	44,241,211	198,050,963
Finance expenses	371,905,673	493,242,957
Investment income	(15,613,172)	(31,394,852)
Provision for gratuity	3,573,049	4,200,001
Right of Use Asset Depreciation	-	-
Right of Use Asset Finance Cost	-	-
Operating profit/(Loss) before working capital changes	363,029,726	569,534,148
Change in loans and receivables to customers	452,285,368	146,395,114
Change in other assets	242,830	14,110,729
Change in deposits from customers	(304,659,703)	(348,083,665)
Change in other liabilities	(283,093,437)	53,548,587
	227,804,784	435,504,913
Rent Paid	(13,899,324)	-
Interest paid	(311,406,244)	(466,919,876)
Income tax paid	-	-
Gratuity paid	(6,349,079)	(4,152,727)
Net cash from/(used in) operating activities	(103,849,864)	(35,567,690)
Cash flows from investing activities		
Acquisition of property, plant and equipment and intangible assets	(5,230,077)	(13,616,303)
Proceeds from sale of property, plant and equipment	36,165	-
Proceeds from sale of real estate	-	-
Net change in available for sale financial assets	389,886,964	(5,608,938)
Net change in investments with bank and other financial institutions	(1,008,825)	62,589,682
Investment income received	32,809,122	31,394,852
Net cash generated from/(used in) investing activities	416,493,348	74,759,293
Interest bearing borrowings obtained	1,181,500,000	2,395,641,753
Interest Paid on Borrowings	(1,180,449,223)	(2,245,523,430)
Interest paid on debentures	(95,642,503)	(43,661,687)
Net cash generated from/(used in) financing activities	(94,591,726)	106,456,636
Net change in cash and cash equivalents	218,051,759	145,648,239
Cash and cash equivalents at the beginning of the period	(194,895,886)	(428,882,252)
Cash and cash equivalents at the end of the year (Note A)	23,155,872	(283,234,013)
Analysis of cash and cash equivalents at the end of the period		
Cash in hand	100,039,525	128,584,554
Cash at bank	186,508,946	18,684,294
Bank overdrafts - secured	(263,392,599)	(430,502,861)
	23,155,872	(283,234,013)

Figures in brackets indicate deductions.

FINANCIAL REPORTING BY SEGMENTS

Business Segments

The company has four reportable segments, as described below, which are the company's strategic divisions. The strategic divisions offer different products and services, which are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the company's reportable segments.

- a) Hire purchase, finance leasing- Provision of hire purchase and leasing facilities to customers
- b) Loans - Provision of Loan facilities to customers
- c) Factoring - Debt factoring
- Gold Loan - Provision of loans against gold

For the period ended 30th June	Finance leases, Hire purchases		Loans		Factoring		Gold Loan		Total	
	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.
Interest income	394,565,680	601,998,973	34,764,040	86,448,251	10,161,792	17,160,555	94,928,490	72,037,759	534,420,001	777,645,537
Fee and commission income	21,995,991	32,782,657	1,108,746	2,877,117	1,230,180	1,798,724	832,590	-	25,167,508	37,458,498
Other income	4,485,114	10,698,070	613,970	766,146	198,098.28	197,567	461,048	553,770	5,758,230	12,215,553
Total segmental income	421,046,785	645,479,701	36,486,756	90,091,513	11,590,070	19,156,845	96,222,128	72,591,529	565,345,738	827,319,588
Less: Interest expense	(280,679,196)	(372,117,137)	(39,654,339)	(61,153,942)	(12,794,536)	(15,769,827)	(38,777,602)	(44,202,050)	(371,905,673)	(493,242,957)
Segmental results	140,367,588	273,362,563	(3,167,583)	28,937,571	(1,204,466)	3,387,018	57,444,526	28,389,479	193,440,065	334,076,631
Depreciation and amortization	(6,484,214)	(6,187,132)	(887,627)	(1,016,797)	(286,394)	(262,202)	(666,545)	(734,940)	(8,324,781)	(8,201,072)
Impairment charge	(44,240,776)	(142,771,472)	0	(27,868,152)	(434)	(27,411,339)	0	0	(44,241,210)	(198,050,963)
Other Expenses	(132,645,274)	(169,995,011)	(20,552,225)	(26,804,627)	(6,631,208)	(6,884,317)	(30,433,266)	(24,267,996)	(190,261,974)	(227,951,951)
Income tax	(1,824,713)	(3,109,128)	-	-	-	-	-	-	(1,824,713)	(3,109,128)
Profit/(loss) after tax	(44,827,389)	(48,700,180)	(24,607,436)	(26,752,005)	(8,122,503)	(31,170,841)	26,344,715	3,386,542	(51,212,614)	(103,236,483)
Segmental assets	11,271,370,810	11,481,642,125	1,600,629,283	2,098,327,229	516,445,603	541,097,718	1,616,061,000	1,516,670,276	15,004,506,695	15,637,737,347
Segmental liabilities	9,416,351,608	9,280,284,370	1,316,059,874	1,841,316,588	424,628,827	474,822,130	1,188,267,806	1,330,903,064	12,345,308,116	12,927,326,152

NOTES TO THE FINANCIAL STATEMENTS

- 1 These Interim Financial Statements of the Company have been prepared based on the Sri Lanka Accounting Standards that came into effect from January 01, 2012 (SLFRS/LKAS). There were no changes to the Accounting Policies and methods of computation since the publication of the Audited Financial Statements for the Year Ended 31 March 2019, except for the Accounting Policies and methods of computation adopted to be in compliant with the requirement of the Sri Lanka Accounting Standard SLFRS 16 - "Leases", which became effective from January 01, 2019. SLFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases for both parties to a contract (i.e. Lessee and Lessor). SLFRS 16 replaced LKAS 17 - "Leases" and related interpretations. The Company has adopted SLFRS 16 using modified retrospective method from 1 April 2019, without restating comparative information. Instead, it has recognized the cumulative effect of initially applying this standard as an adjustment to the opening balance of Retained earnings at the date of initial application, as permitted under the specific transitional provisions in the standard. Further, these Interim Financial Statements have been prepared in compliance with the requirements of the Sri Lanka Accounting Standard 34 (LKAS 34) on Interim Financial Reporting.
- 2 There are no material events that took place after the reporting date that require adjustments to or disclosure in the Financial Statements.
- 3 All known expenses have been provided for in these Financial Statements.
- 4 There are no significant changes in the nature of the Contingent Assets or Contingent Liabilities which were disclosed in the Audited Financial Statements for the year ended 31st March 2020.

Ordinary Share Information

The Company's Ordinary Shares are listed on the Diri Savi Board of the Colombo Stock Exchange (CSE).

<u>Stated Capital</u>		30-Jun-20	30-Jun-19
Value of Ordinary Shares (Rs.)		2,431,879,039	1,378,689,779
No. of Ordinary Shares		211,101,155	148,018,370
Share Price During the Period		For the Quarter Ended 30-Jun-20	For the Quarter Ended 30-Jun-19
Highest	(Rs)	11.00	13.70
Lowest	(Rs)	5.00	10.20
Closing	(Rs)	9.90	11.80

Shareholders as at 30th June 2020

	Name	No. of Shares	%
1	Janashakthi PLC	185,455,437	87.85
2	Commercial Bank of Ceylon PLC/Janashakthi PLC	10,555,057	5.00
3	First Capital PLC	2,138,299	1.01
4	Mr. L.P.Mendis	696,103	0.33
5	Mr. R.A.B.K.Kumara	500,000	
6	Seylan Bank Plc/ S.R. Fernando	490,839	0.23
7	Mr. K.S.S. Peris	383,108	0.18
8	Mr.N.L.S.Fernando	377,677	0.18
9	Mr. A.S.A.Fernando	336,100	0.16
10	M/S Commercial Credit And Finance Plc	330,000	0.16
11	Seylan Bank PLC/ K.L.G.Udayanda	231,365	0.11
12	Merchant Bank of Sri Lanka & Finance PLC 01	225,000	0.11
13	DFCC Bank PLC/G.A.C. De Silva	211,000	0.10
14	Mr.M.K.De Livera	207,628	0.10
15	Mr. R.M.P. Dayawansa	202,095	0.10
16	Mr. S.D.S. Gunasekera	200,000	0.09
17	Mrs. M. N. S. Fernando	195,523	0.09
18	M/S Merchant Bank of Sri Lanka & Finance PLC/ D.L.J. Priyadarshana	191,903	0.09
19	Mr.D.N.F.G.Martinus	186,333	0.09
20	Mr.R.E.Rambukwella	160,483	0.08
	Others	7,827,205	3.71
	Total	211,101,155	99.76

Directors' Shareholding as at 30th June 2020

	Name of the Director	No. of Shares	%
1	Mr. Prakash anand Schaffter	10	-
2	Mr. K. M. A. T. B. Tittawella	-	-
3	Ms. Minette D. A. Perera	-	-
4	Ms. Indrani Goonesekara	-	-
5	Mr. Ramesh Schaffter (Alternative Director to Mr. Prakash Schaffter)	10	-
6	Mr. Nawalage Sriyan Suresh cooray	-	-
7	Mr. Kather Meerasahim Mohamed Jabir		
8	Ratnayake Mudiyanseelage Darshana Joseph Ratnayake		
	Total	20	

CEO's Shareholding as at 30th June 2020

Mr.K.M.M.Jabir - -

Public Holding as at 30th June 2020

	12,952,282
Number of Public Shareholders	1,059
Public Shareholding Percentage	6.14%
Float Adjusted market capitalization (Rs)	128,319,948

The CSE granted an extension in terms of section 7.13.3 (iii) of the Listing Rules to comply with the minimum public holding requirement until 4th June 2020. Accordingly, upon the expiry of the extension period, Orient Finance PLC is considered non-compliant and is entitled for a grace period of 6 months until 4th December 2020 to comply with the minimum public holding requirement. The Company is entitled for a further period of 3 months, until 4th March 2021, in accordance with the CSE circular 03-04-2020 dated 10th April 2020 extending the timelines for submission of Financial Statements and Enforcement Action.